

Test Yourself
Macroeconomics
Exchange Rate

Section A

Duration of each question is **40 mins**

1. Explain what is meant by a depreciation of the exchange rate and consider whether a depreciation is likely to increase domestic real output. (8) **q4a/22/F/M/24**
2. Explain **two** possible causes of a change in the terms of trade in an economy **and** consider which of these causes is likely to be more important for low-income countries. (8) **q5a/23/M/J/24**
3. Assess the extent to which different tools of protection can impact on the terms of trade in an economy. (12) **q5b/23/M/J/24**
4. Explain the difference between the terms of trade and the balance of trade in goods **and** consider whether an economy should be more concerned about its terms of trade than its balance of trade in goods. (8) **q4a/22/O/N/23**
5. Assess whether a rise or a fall in the terms of trade will benefit the macroeconomic performance of an open economy that is heavily dependent on international trade. (12) **q4b/22/O/N/23**
6. With the help of a diagram, explain what is meant by an appreciation of a floating exchange rate **and** consider whether a country can only benefit from the appreciation of its currency. (8) **q5a/22/F/M/23**
7. With the help of a diagram(s), explain the likely causes of a depreciation of a floating exchange rate **and** consider whether such a depreciation is always beneficial to an economy. (8) **q5a/21/M/J/23**

8. Explain the difference between cost-push and demand-pull inflation **and** consider which is more likely to occur if there is a depreciation in the exchange rate of a country with few natural resources. (8) **q5a/22/M/J/23**

9. With the help of a formula, explain **two** reasons for an improvement in the terms of trade **and** consider the extent to which an improvement in the terms of trade will benefit an economy. (8) **q4a/22/F/M/25**

Section B

Duration **1 hour**

1. What must be the result for a country of a rise in its export prices relative to its import prices?
 - A** a deficit in its trade in goods
 - B** an improvement in its terms of trade
 - C** an increase in its inflation rate
 - D** a rise in its exchange rate

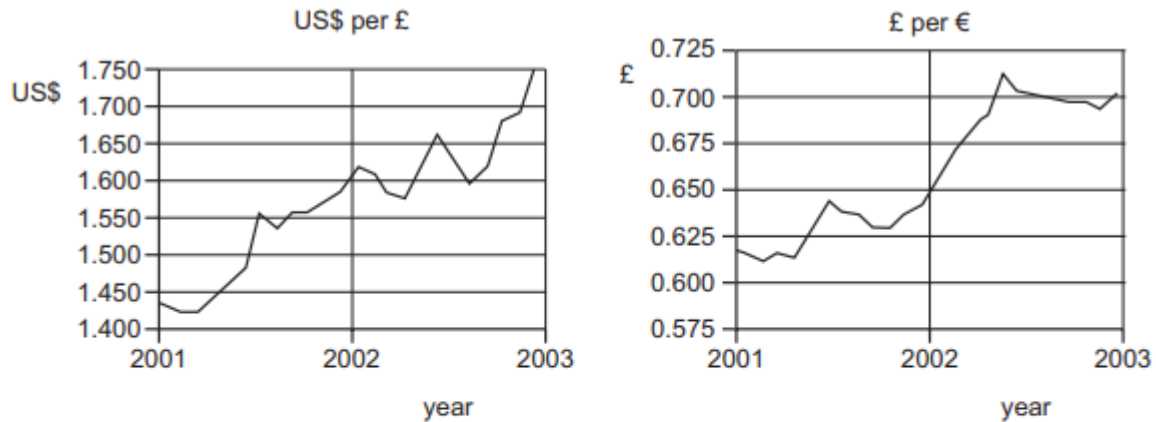
2. A country's currency has depreciated against all the currencies of its main trading partners.
How will the depreciation affect its terms of trade?
 - A** The terms of trade will improve.
 - B** The terms of trade will not change.
 - C** The terms of trade will worsen.
 - D** The terms of trade will worsen only if the depreciation causes inflation.

3. What will definitely change a country's terms of trade?
 - 1 when the price of imported raw materials increases
 - 2 a change in inflation rates
 - 3 an appreciation of the exchange rate

A 1, 2 and 3 **B** 1 and 2 only **C** 1 and 3 only **D** 2 and 3 only

4. What is most likely to cause a rise in a country's exchange rate?
 - A** a fall in its direct taxes
 - B** a fall in its export orders
 - C** a rise in its interest rates
 - D** a rise in its imports

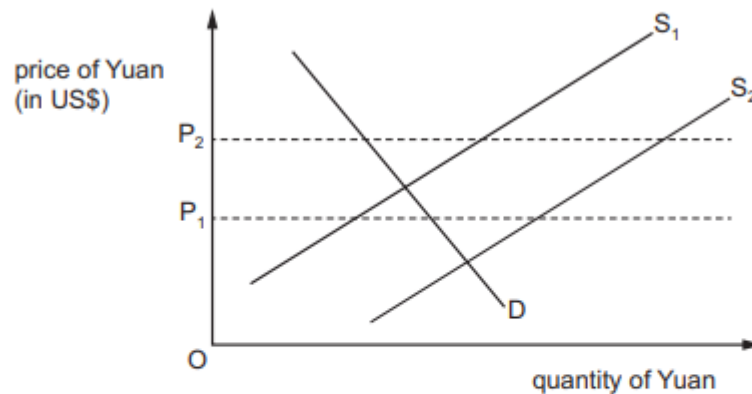
5. The graphs show the changes in the exchange rates of the pound sterling (£) against the US dollar (US\$) and the euro (€) between the years 2001 and 2003.



What happened to the value of the £ between the years 2001 and 2003?

- A** The £ appreciated against the US\$ and depreciated against the €.
- B** The £ appreciated against the US\$ and the €.
- C** The £ depreciated against the US\$ and appreciated against the €.
- D** The £ depreciated against the US\$ and the €.
6. Which change affecting the foreign exchange market for the US\$ would be most likely to result in a shift to the right of the demand curve and a movement along the supply curve?
- A** The US government reduces subsidies on exports to the EU.
- B** Foreign currency speculators in Switzerland believe that the US\$ is undervalued and act accordingly.
- C** The US government intervenes in the foreign exchange market so as to bring about a drop in the value of the US\$.
- D** US pharmaceutical companies experience a fall in demand for their products from the rest of the world.
7. What can be best understood from a knowledge of a country's terms of trade?
- A** its balance of payments performance
- B** the purchasing power of its exports
- C** the standard of living within the country
- D** the value of its real exchange rate

8. Why might a government prefer to use floating exchange rates?
- A It allows the government more independence in policy making.
 - B It encourages the government to build up its foreign exchange reserves.
 - C It eliminates the instability of free markets.
 - D It gives firms more confidence in future costs and prices.
9. Assume the Chinese monetary authorities are committed to maintaining the exchange rate of China's currency, the Yuan, against the US\$ between P_1 and P_2 on the diagram.



What might they do if supply changed from S_1 to S_2 ?

- A introduce controls on Chinese investment overseas
 - B lower interest rates
 - C remove tariffs on imports from USA
 - D sell Yuan on the foreign exchange markets
10. What is a measure of a country's terms of trade index?
- A $\frac{\text{price index of exports}}{\text{price index of imports}} \times 100$
 - B $\frac{\text{price index of imports}}{\text{price index of exports}} \times 100$
 - C $\frac{\text{total value of exports}}{\text{total value of imports}} \times 100$
 - D total value of exports – total value of imports

11. What is likely to cause an increase in the exchange rate of an economy?
- A an increase in demand-pull inflation
 - B an increase in national income
 - C a decision of the central bank to raise money supply
 - D a discovery of a natural resource that replaces imports
12. In which situation will a country's terms of trade improve?
- A Its total value of imports rises less than its total value of exports.
 - B Its volume of imports rises less than its volume of exports.
 - C The prices of its imports rise by less than the prices of its exports.
 - D The value of its external payments rises by less than the value of its external receipts.
13. What is likely to happen if there is a fall in the international value of a country's currency?
- A a rise in the foreign currency price of its exports
 - B a rise in the volume of its exports
 - C a fall in the domestic currency price of its imports
 - D a fall in the domestic price level
14. Following a 10% depreciation in the \$ value of the £ sterling, a UK exporter leaves the \$ price of the goods it sells in the US market unchanged.
- Other things being equal, what will be the effect on the revenue measured in sterling obtained by the manufacturer from its sales in the US?
- A It will increase.
 - B It will decrease.
 - C It will be unchanged.
 - D It will depend on the elasticity of demand for the manufacturer's good in the US.

15. The price and volume indexes of a country's imports and exports are shown in the table, for year 2 [year 1 = 100].

year 2 price index		year 2 volume index	
imports	exports	imports	exports
110	121	90	80

What is the country's terms of trade index for year 2?

- A** 90.9 **B** 97.8 **C** 110.0 **D** 111.0

16. Turkey can produce a good but also imports some of the good from Egypt. The Turkish currency depreciates against the Egyptian currency.

How is this most likely to affect production of this good in Egypt and in Turkey?

	production in Egypt	production in Turkey
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

17. What would be the best policy to increase the value of a currency?

- A** Impose tariffs on imported goods with price-inelastic demand.
B Increase interest rates.
C Reduce income tax.
D Sell the currency on the foreign exchange markets.

18. What will lead to an improvement in the terms of trade?

- A** Export prices fall by 10% and import prices fall by 5%.
B Export prices fall by 10% and import prices rise by 5%.
C Export prices rise by 5% and import prices rise by 10%.
D Export prices rise by 10% and import prices rise by 5%.

19. A country operates a fixed exchange rate system.

What will put pressure on the country to devalue its currency?

- A a decrease in the country's inflation rate relative to the inflation rates of other countries
- B a decrease in the tariffs on its products imposed by other countries
- C an increase in its current account balance of payments deficit with other countries
- D an increase in the country's interest rate relative to the interest rates of other countries

20. A country operates a fixed exchange rate.

There is a major fall of international confidence in its government's economic policies.

What is likely to be the result?

- A a fall in its foreign exchange rate
- B a fall in its foreign exchange reserves
- C a rise in its capital inflows
- D a rise in its terms of trade

21. Why does the value of a country's terms of trade have no monetary units?

- A It cannot be calculated accurately enough.
- B It includes more than one currency.
- C It is a ratio of two index numbers.
- D It measures change over time.

22. A country operates a floating exchange rate.

What will cause the demand curve for the country's currency to shift left in the foreign exchange market?

- A a decrease in the country's interest rate
- B a decrease in the country's money supply
- C an increase in the country's export sales
- D an increase in the country's import purchases

23. The table shows the relative price of exports compared with imports expressed as an index number for an economy (2013 = 100).

date	index
2013	100
2014	97
2015	95

Which statement about the period 2013–2015 is correct?

- A Export prices have increased each year.
 - B The general level of prices has fallen.
 - C The terms of trade have deteriorated.
 - D The volume of imports increasingly exceeds the volume of exports.
24. A government with a floating exchange rate wishes to encourage a rise in the international value of its currency.

What should it do?

- A lower the level of domestic interest rates
 - B reduce the amount of foreign currency available to its citizens
 - C reduce subsidies to its exporters
 - D remove trade barriers on imports
25. A country has a balance of payments deficit. It devalues its currency.

Which combination leads to a reduction in its balance of payments deficit in the long run?

	price elasticity of demand for exports	price elasticity of demand for imports
A	less than 0.5	less than 0.5
B	less than 1	zero (0)
C	more than 0.5	more than 0.5
D	zero (0)	less than 1

26. The government of an open economy with an overvalued currency decides to abandon its fixed exchange rate in favour of a floating exchange rate.

Which macroeconomic policy aim is **least** likely to be met because of this change?

- A a low inflation rate
- B a low level of unemployment
- C a reduced balance of payments deficit
- D a sustainable rate of economic growth

27. Devaluation always has the effect of

- A decreasing the price of imports.
- B decreasing the value of imports.
- C worsening the balance of payments.
- D worsening the terms of trade.

28. A country operates a floating exchange rate.

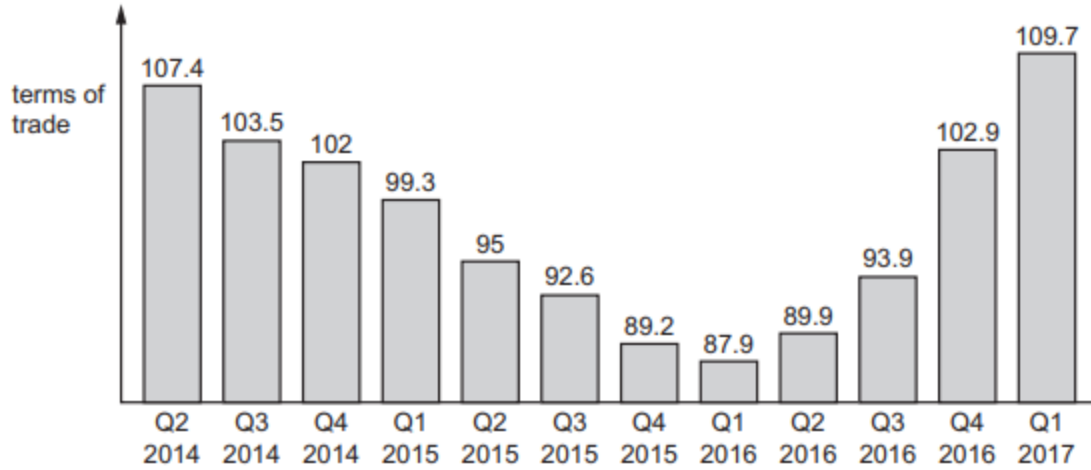
Why might a government change to a fixed exchange rate?

- A to increase the stock of foreign currency reserves
- B to make the terms of trade more favourable
- C to raise the level of certainty for businesses
- D to use the exchange rate to reduce domestic prices

29. Under a system of floating exchange rates, what determines the foreign exchange value of a currency?

- A the overall supply of and demand for a currency on currency markets
- B the purchasing power of the currency relative to the purchasing power of foreign currencies
- C the surplus or deficit on the balance of payments on current account
- D the differential between domestic and foreign interest rates

30. The diagram shows Australia's terms of trade per quarter from Q2, 2014 to Q1, 2017.



In which period did Australia's terms of trade decline and then improve?

- A Q2, 2014 to Q4, 2014
- B Q1, 2015 to Q3, 2015
- C Q4, 2015 to Q2, 2016
- D Q3, 2016 to Q1, 2017

MARKING SCHEME

SECTION A

Question	Answer	Marks
1	Explain what is meant by a depreciation of the exchange rate <u>and</u> consider whether a depreciation is likely to increase domestic real output. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) An accurate definition the exchange rate (1). Understanding that there is likely to be a depreciation of the exchange rate if the demand for a currency falls (1) or there is an increase in the supply of a currency (1). AO2 Analysis (max 3 marks) A depreciation of the exchange rate will reduce (increase) the perceived price of exports (imports) (1) which will increase the value of both (X-M) and aggregate demand (1) and increase the rate of domestic real output (1). AO3 Evaluation (max 2 marks) One mark for a valid explanation that this assumes that the economy is not operating at full capacity (1) or depends on the elasticity of demand for goods that are traded internationally (1). The second mark is for a justified conclusion.	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
2	Explain <u>two</u> possible causes of a change in the terms of trade in an economy <u>and</u> consider which of these causes is likely to be more important for low-income countries. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) • Explanation of what is meant by the terms of trade i.e., the ratio of export price index to the import price index. (1) • It measures the number of exports that have to be sold to buy a given number of imports. (1) • Terms of trade are said to improve when the ratio increases and / or to deteriorate when the ratio falls. (1) AO2 Analysis (max 3 marks) • The two main causes of changes in the terms of trade occur e.g., when there is an increase in export prices and a fall in import prices. Such changes are often the result of changes in the demand for exports and the demand for imports. (1) • Low-income countries are more likely to export primary goods and to import manufactured goods. The demand for primary goods may be lower than that for manufactured goods when income rises, e.g., for agricultural goods, so import prices may fall and terms of trade deteriorates. (1) • However, commodity prices such as oil may have an inelastic demand and prices may rise leading to an improvement in terms of trade. (1) AO3 Evaluation (max 2 marks) For evaluation that considers the significance of changes in terms of trade for low-income countries that are producers of food stuffs and similar products compared to the benefits for low-income countries that have exports of products such as minerals that are in high demand in high-income countries. Reserve 1 mark for a justified conclusion. Please use a text box to show the mark split e.g., 3 2 1	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
3	Assess the extent to which different tools of protection can impact on the terms of trade in an economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • An explanation of what is meant by tools of protection. • Explanation of the different tools of protection and how they may impact the terms of trade. • Examples include tariffs which are used to increase import prices which will reduce the terms of trade but may improve them if domestic producers including infant industries are encouraged to invest and build up demand and increase export prices. However, retaliation and inelastic PED for imports may reduce the positive impact. • Other examples include import quotas, embargoes, exchange rate manipulation etc. At least one additional tool should be explained and analysed in terms of its advantages and disadvantages in relation to its impact on the terms of trade. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation Evaluation must focus on the impact of the tools of protection on the terms of trade. This should lead to a justified conclusion. Accept all valid responses. A one-sided response cannot gain any marks for evaluation. Please use a text box to show the mark split e.g., L2 5 L1 2	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
4	Explain the difference between the terms of trade and the balance of trade in goods <u>and</u> consider whether an economy should be more concerned about its terms of trade than its balance of trade in goods. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding. up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) The term of trade is a numerical measure of the relationship/ratio between export and import prices (1) with an accurate formula showing the measure as an index (1) whereas the balance of trade in goods measures the revenue earned from exports of goods minus the expenditure on imports of goods (1) AO2 Analysis (max 3 marks) Analysis must consider issues concerning both the terms of trade and the balance of trade in goods. These may include: - Up to 2 marks for an analysis of the effects of changes to the terms of trade e.g., relative change in competitiveness, increase in cost-push inflation, effects on balance of trade in goods and services. - Up to 2 marks for an analysis of the effects of changes to the balance of trade e.g., an increase in the demand for exports ceteris paribus may lead to an increase in the balance of trade, impact on employment levels, economic growth, inflation. MAX 3 marks overall AO3 Evaluation (max 2 marks) Evaluation should use relevant analysis to consider the importance of both measures and make a judgement as to which one may be of most concern to an economy (1). Reserve one mark for a justified conclusion (1).	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
5	Assess whether a rise or a fall in the terms of trade will benefit the macroeconomic performance of an open economy that is heavily dependent on international trade. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis Better answers will examine the impacts on the wider economy i.e., employment, price stability, economic growth as well the on the current account. Reference will also be made to the dependency on international trade. For a rise in the terms of trade: • This may lower inflation if raw material import prices are lower. • Depending on price elasticity of demand, it may lead to economic growth if the income earned from exports increases and a boost to employment. • It may however lead to lower economic growth if it leads to a current account deficit. For a fall in the terms of trade: • Exports may be boosted, and this may lead to higher economic growth. • It may reduce a current account deficit. • It may however be a sign of a weak economy with exports that are less in demand and therefore lead to lower economic growth. • If imports are price inelastic, this may lead to import cost-push inflation if the economy is highly dependent on imported goods. • Answers which do not refer to the heavy dependence on international trade cannot gain more than L2. • Answers which only refer to a rise or a fall in the terms of trade cannot gain more than L2. • At least one negative effect in addition to positive effects (either for a rise or a fall in the terms of trade) should be considered within the analysis to gain lower L3. AO3 Evaluation • Evaluation should consider both price elasticity of demand for exports and imports and the dependency on international trade. N.B. reference to the Marshall-Lerner condition may be rewarded but must not be expected as that is an AL topic. • The benefits and drawbacks of both a rise in the terms of trade and a fall in the terms of trade should be carefully considered and compared to form a judgement about their impact on the wider economy. • This should lead to a considered conclusion about which is more likely to be of benefit. Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12

Question	Answer	Marks
6	With the help of a diagram, explain what is meant by an appreciation of a floating exchange rate and consider whether a country can only benefit from the appreciation of its currency. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) A clear knowledge and understanding of the meaning of an appreciation of an exchange rate in a floating exchange rate system i.e., the exchange rate rises according to supply and demand of the currency (1). A diagram showing an appreciation of a currency: correct labelling of the axes (the vertical axis needs to be labelled either in terms of two currencies or as exchange rate) (1) and a rise in the value of a currency by a rightward shift of the demand curve and/or a leftward shift of the supply curve with the new equilibrium price shown together with an explanation of a possible cause of either shift (1). AO2 Analysis (max 3 marks) An analysis of the potential advantages of an appreciation, such as a reduction in the prices of imports, both of finished goods and of raw materials and component parts, reducing inflationary pressures in an economy. An analysis of the potential disadvantages of an appreciation, such as an increase in the price of exports making them less competitive. Note: maximum mark of 2 if only advantages or disadvantages discussed. AO3 Evaluation (max 2 marks) Offers a valid judgement on whether the potential advantages of an appreciation of an exchange rate always outweigh the potential disadvantages (1) to reach a conclusion. (1) N.B the significance of elasticities and the MLC may be rewarded but must not be expected as they are A2 topics.	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
7	With the help of a diagram(s), explain the likely causes of a depreciation of a floating exchange rate <u>and</u> consider whether such a depreciation is always beneficial to an economy. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (3 marks maximum) An understanding of: - the demand for, and the supply of, a currency, shown through an accurate diagram, with correctly labelled axes (1) - correctly labelled demand and supply curves showing appropriate shift(s) (1) - and a fall in the value of the exchange rate. (1) AO2 Analysis (3 marks maximum) Uses the diagram to explain what could cause a shift of the demand curve for the currency to shift to the left and/or a shift of the supply curve of the currency to the right and analyses how these shifts could impact on the value of a currency. Consideration of potential advantages and disadvantages of a depreciation to an economy. AO3 Evaluation (2 marks maximum) Offers a valid judgement on whether the potential benefits of a depreciation of a country's floating exchange rate always outweigh the potential disadvantages (1) to reach a conclusion. (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
8	Explain the difference between cost-push and demand-pull inflation and consider which is more likely to occur if there is a depreciation in the exchange rate of a country with few natural resources. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) Cost push inflation is inflation caused by increases in the costs of production (1). Demand pull inflation is caused by increases in AD not matched by equivalent increases in AS (1). A clear explanation of the differences between the two (1) AO2 Analysis (max 3 marks) A depreciation in the exchange rate will lead to a fall in the price of exports for the trading partner and a rise in the price of imports for the country in question. This should be analysed with reference to the impact on the different types of inflation. Maximum of 2 marks if only demand-pull inflation is considered and should focus on the impact of the fall in price of exports and the rise in the price of imports and the possible impact on the X -M component of AD and therefore the impact on AD overall. Reference may be made to the PED of exports and the PED of imports. Maximum of 2 marks if only cost push inflation is considered. Reference must be made to the importance of imports (1) and the fact that this country has few natural resources which probably means they must be imported for the 2nd mark. AO3 Evaluation (max 2 marks) For an answer that clearly considers the fact that this country has few natural resources (1) to come to a justified conclusion as to which type of inflation is most likely to be the outcome for a country with few natural resources (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
9	With the help of a formula, explain two reasons for an improvement in the terms of trade and consider the extent to which an improvement in the terms of trade will benefit an economy. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) An accurate definition of the terms of trade (1) An accurate formula (1) Understanding that there is likely to be an improvement in the terms of trade if export prices rise (1) relative to import prices (1). AO2 Analysis (max 3 marks) An improvement in the terms of trade means that a unit of export buys relatively more imports (1) which may lead to an improvement in living standards (1) as imported goods appear cheaper to consumers (1). AO3 Evaluation (max 2 marks) One mark for a valid explanation that there may be a resultant loss of international competitiveness that might lead to unemployment in the domestic economy both from a fall in the demand for exports but also as a result in the increased demand for imports. The second mark might refer to the significance of elasticities in determining the outcome. Please use a text box to show the mark split e.g., 3 3 1	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

SECTION B

1.	B	11.	D	21.	C
2.	C	12.	C	22.	A
3.	C	13.	B	23.	C
4.	C	14.	A	24.	B
5.	A	15.	C	25.	C
6.	B	16.	B	26.	A
7.	B	17.	B	27.	D
8.	A	18.	D	28.	C
9.	A	19.	C	29.	A
10.	A	20.	B	30.	C